

# **Fiscal Policy**

## **Meaning of Fiscal Policy**

Fiscal policy refers to the policy through which the government uses taxation, public expenditure, public borrowing and the government budget to influence the economy. It is used to achieve objectives such as economic growth, price stability, higher employment and balanced development.

### **Definition**

#### **According to J. L. Hanson:**

“Fiscal policy is meant by the use of taxation through the budget as an adjunct to monetary policy.”

In simple words, fiscal policy means using government revenue and expenditure to regulate economic activities and achieve the desired economic goals.

## **2. Objectives of Fiscal Policy**

### **1. Revenue Earning**

The primary objective of fiscal policy is to raise sufficient revenue for the government. Revenue is collected through direct taxes, indirect taxes, fees, fines, public borrowing and other non-tax sources.

The government requires revenue to provide public services such as:

- Education
- Healthcare
- Defence
- Transport
- Law and order
- Social-welfare programmes

## **2. Rapid Economic Development**

Fiscal policy aims to accelerate the rate of economic development. The government spends money on infrastructure, industries, agriculture, transport, electricity, irrigation, education and healthcare.

Such expenditure increases the productive capacity of the economy and raises national income and employment.

## **3. Proper Allocation of Resources**

The resources of a country are limited and should be used carefully. Through taxation and public expenditure, the government directs resources towards productive and socially desirable activities.

For example, the government may:

- Impose higher taxes on luxury and harmful goods.
- Provide subsidies to agriculture and essential industries.
- Spend more on education, healthcare and infrastructure.

Thus, fiscal policy transfers resources from less important uses to priority sectors.

## **4. Capital Formation**

Capital formation means increasing the stock of productive assets such as machinery, factories, roads, dams and power plants.

Fiscal policy promotes capital formation by:

- Encouraging savings through tax concessions.
- Reducing unnecessary consumption.
- Mobilising savings through public borrowing.
- Investing government revenue in productive projects.

A higher rate of capital formation increases the productive capacity of the country.

## **5. Control of Inflation**

Inflation refers to a continuous rise in the general price level. During inflation, the government follows a contractionary fiscal policy.

It may:

- Increase taxes.
- Reduce unnecessary public expenditure.
- Reduce subsidies and transfer payments.
- Prepare a surplus budget.
- Borrow money from the public.

These measures reduce purchasing power and aggregate demand, helping to control inflation.

## **6. Price Stability**

Fiscal policy aims to prevent large and frequent changes in prices. Stable prices protect consumers, producers, workers and investors from economic uncertainty.

During inflation, taxes may be increased and government expenditure reduced. During deflation, the government may reduce taxes and increase public expenditure. In this way, fiscal policy helps maintain a reasonably stable price level.

## **7. Balanced Economic Development**

Economic development should take place across all sectors and regions of the country. Fiscal policy promotes the development of backward regions through:

- Tax concessions
- Subsidies
- Infrastructure development
- Special economic packages
- Establishment of public-sector industries

The government also invests in areas where private businesses may be unwilling to invest, such as irrigation, rural roads, electricity and public transport.

## **8. Economic Stability**

Fiscal policy helps control economic fluctuations such as inflation, recession, unemployment and depression.

During a recession, the government may increase expenditure and reduce taxes to raise demand, production and employment. During inflation, it may reduce expenditure and increase taxes. Therefore, fiscal policy helps maintain stability in output, income, employment and prices.

## **9. Increase in the Rate of Investment**

Another objective of fiscal policy is to increase both public and private investment.

The government encourages investment by:

- Providing tax concessions.
- Offering subsidies and financial assistance.
- Developing infrastructure.
- Giving depreciation allowances.
- Investing directly in major development projects.

An increase in investment creates employment, expands production and promotes long-term economic growth.

## **10. Promotion of Employment**

Although closely connected with economic development, employment generation is also an important objective of fiscal policy. The government creates jobs by spending on public works, infrastructure and development programmes.

Tax concessions and subsidies may also encourage private industries to expand production and employ more workers.

### **3. Components of Fiscal Policy**

Fiscal policy refers to the government's policy regarding revenue, expenditure, public borrowing and the budget. Its main components are:

#### **1. Public Revenue**

Revenue policy deals with the methods used by the government to collect income. Government receipts are classified into:

##### **A. Revenue Receipts**

Revenue receipts are receipts that:

- Do not create any liability for the government.
- Do not cause a reduction in government assets.
- Are generally received regularly.

Revenue receipts are divided into:

##### **Tax Revenue**

Income received by the government through taxes.

Examples:

- Income tax
- Corporate tax
- Goods and Services Tax
- Customs duty
- Excise duty

## **Non-Tax Revenue**

Income received by the government from sources other than taxes. Examples:

- Fees
- Fines and penalties
- Interest receipts
- Dividends from public-sector enterprises
- Profits of government companies

## **B. Capital Receipts**

Capital receipts are receipts that either:

- Create a liability for the government, or
- Reduce the assets of the government.

Capital receipts are divided into:

### **Capital Receipts that Create Liabilities**

These receipts increase the government's repayment obligations.

Examples:

- Borrowings from the public
- Loans from foreign governments
- Loans from international institutions
- Borrowings from the central bank

### **Capital Receipts that Do Not Create Liabilities**

These receipts do not increase government liabilities but reduce government assets.

Examples:

- Recovery of loans given by the government
- Disinvestment or sale of shares in public-sector enterprises

## **2. Public Expenditure**

Expenditure policy refers to the policy of the government regarding public spending.

Government expenditure is classified into:

### **A. Revenue Expenditure**

Revenue expenditure is expenditure that:

- Does not create assets for the government.
- Does not reduce government liabilities.
- Is incurred for the normal functioning of the government.
- Is generally recurring in nature.

Examples:

- Salaries and pensions of government employees
- Interest payments
- Subsidies
- Grants
- Expenditure on administration
- Maintenance of government buildings
- Expenditure on education and healthcare services

## **B. Capital Expenditure**

Capital expenditure is expenditure that:

- Creates assets for the government, or
- Reduces the liabilities of the government.
- Is generally incurred for long-term development.

Examples:

- Construction of roads, bridges and dams
- Purchase of machinery and equipment
- Construction of schools and hospitals
- Loans given to state governments
- Purchase of shares in companies
- Repayment of government loans

## **3. Public Debt Policy**

Public debt policy deals with government borrowing and the management of public debt.

The government borrows money when its expenditure is greater than its revenue.

### **Sources of Public Debt**

#### **Internal Debt**

Money borrowed from sources within the country.

Examples:

- Borrowings from the public
- Government securities

- Treasury bills
- Loans from banks and financial institutions

### **External Debt**

Money borrowed from sources outside the country.

Examples:

- Foreign governments
- World Bank
- International Monetary Fund
- Other international financial institutions

## **4. Budget Policy**

Budget policy refers to the government's decisions regarding expected revenue and expenditure during a financial year.

A government budget is an annual statement of the estimated receipts and expenditure of the government.

### **Types of Government Budget**

#### **A. Balanced Budget**

A balanced budget occurs when estimated government revenue is equal to estimated government expenditure.

**Revenue = Expenditure**

It promotes financial discipline but may not be suitable during recession or unemployment.

#### **B. Surplus Budget**

A surplus budget occurs when estimated government revenue is greater than estimated government expenditure.

**Revenue > Expenditure**

It is generally used to control inflation by reducing excess demand in the economy.

### **C. Deficit Budget**

A deficit budget occurs when estimated government expenditure is greater than estimated government revenue.

**Expenditure > Revenue**

It is generally used to promote economic growth, increase employment and overcome recession.

## **Deficit Formulas**

### **1. Revenue Deficit**

Revenue Deficit = Revenue Expenditure – Revenue Receipts

### **Types of Primary Deficit**

#### **A. Primary Deficit—Consumption Component**

Primary Revenue Deficit = Revenue Deficit – Interest Payments

#### **B. Primary Deficit—Investment Component**

Investment Component = Capital Expenditure – Non-Debt Capital Receipts

### **2. Fiscal Deficit**

Fiscal Deficit = Total Expenditure – (Revenue Receipts + Non-Debt Capital Receipts)

### **Primary Deficit**

Primary Deficit = Fiscal Deficit – Interest Payments.

## Present Fiscal Policy of India, 2026–27

India's present fiscal policy may be described as **growth-oriented fiscal consolidation**. The Union Government is attempting to reduce the fiscal deficit and public debt gradually while maintaining high capital expenditure, infrastructure development, social welfare and support for manufacturing.

### 1. Fiscal Consolidation

The fiscal deficit is estimated at **4.3% of GDP in 2026–27**, compared with 4.4% in the revised estimates for 2025–26. The revenue deficit is estimated at **1.5% of GDP**, while the effective revenue deficit is estimated at **0.3% of GDP**.

The Central Government's debt is estimated at **55.6% of GDP in 2026–27**, down from 56.1% in 2025–26. The medium-term objective is to reduce the debt-to-GDP ratio to approximately **50% ± 1% by 2030–31**.

### 2. Government Receipts

For 2026–27:

- Non-debt receipts are estimated at **₹36.5 lakh crore**.
- Revenue receipts are estimated at **₹35.33 lakh crore**.
- Centre's net tax revenue is estimated at **₹28.67 lakh crore**.
- Non-tax revenue is estimated at **₹6.66 lakh crore**.
- Gross tax revenue is estimated at **₹44.04 lakh crore**, or 11.2% of GDP.

The revenue policy aims to improve tax collection, simplify compliance and widen the tax base without imposing excessive tax burdens.

### 3. Government Expenditure

Total Union Government expenditure for 2026–27 is estimated at approximately **₹53.5 lakh crore**.

The policy continues to provide funds for:

- Social welfare
- Education and skill development
- Healthcare
- Agriculture
- Employment generation
- Subsidies and pensions
- Defence and administration

### 4. Capital Expenditure

Capital expenditure is a major part of the present fiscal policy.

Government capital expenditure is estimated at **₹12.22 lakh crore**, or about 3.1% of GDP. After including grants provided for the creation of capital assets, effective capital expenditure is estimated at **₹17.15 lakh crore**, or 4.4% of GDP.

Capital expenditure is directed towards:

- Roads, railways and waterways
- Urban infrastructure
- Energy and transport
- Schools and hospitals
- Manufacturing and industrial development
- Loans to states for capital projects

The objective is to create productive assets, generate employment and encourage private investment.

## 5. Public Borrowing

The government proposes gross market borrowing of **₹17.2 lakh crore** and net market borrowing through dated securities of **₹11.7 lakh crore** during 2026–27.

Borrowing is being managed within a debt-consolidation framework so that development expenditure can continue without allowing public debt to become unsustainable.

## 6. Tax Policy

The **Income-tax Act, 2025** came into effect from April 2026. The government's direct-tax policy focuses on simplified rules and forms, reduced multiplicity of proceedings, rationalisation of penalties and prosecution, and greater ease of tax compliance.

The customs policy focuses on:

- Simplifying tariff structures
- Supporting domestic manufacturing
- Promoting exports
- Correcting inverted duty structures
- Providing duty relief for selected capital goods, medicines and critical sectors

## 7. Transfers to States

The states' share in the divisible pool of central taxes has been retained at **41%**. Tax devolution to states is estimated at **₹15.26 lakh crore**, while Finance Commission grants are estimated at ₹1.4 lakh crore. Total transfers through this route are estimated at **₹16.56 lakh crore**.

## 8. Main Development Priorities

The present fiscal policy gives priority to:

- Infrastructure-led growth
- Manufacturing in strategic and frontier sectors
- MSME development
- Domestic production of capital goods
- Agriculture and rural development
- Healthcare and biopharmaceutical production
- Education, skills and employment
- Support for disadvantaged groups

## GST Tax Rates and Latest Amendments in India

### Present GST Rate Structure

The earlier four principal slabs of **5%, 12%, 18% and 28%** were rationalised from **22 September 2025**. The two principal GST rates are now:

- **5% — Merit rate**
- **18% — Standard rate**

A **special rate of 40%** applies to selected luxury, demerit and “sin” goods and specified actionable claims. Nil rates and certain special rates continue for notified goods.

### Current Notified GST Rates

| GST rate             | General application                                                                     |
|----------------------|-----------------------------------------------------------------------------------------|
| <b>Nil or exempt</b> | Essential and specifically exempted goods and services                                  |
| <b>0.25%</b>         | Rough diamonds and certain precious or semi-precious stones                             |
| <b>1.5%</b>          | Specified diamonds and synthetic or reconstructed diamonds                              |
| <b>3%</b>            | Gold, silver, jewellery, precious metals and specified precious-metal articles          |
| <b>5%</b>            | Merit goods and services, including many essential and commonly used items              |
| <b>18%</b>           | Standard rate applicable to most taxable goods and services                             |
| <b>28%</b>           | Specified tobacco, pan masala and nicotine products during the transitional arrangement |
| <b>40%</b>           | Selected luxury and demerit goods and specified actionable claims                       |

Notification No. 9/2025–Integrated Tax (Rate) formally prescribed the rates of **5%, 18%, 40%, 3%, 0.25%, 1.5% and 28%**, effective from 22 September 2025.

### Important Examples

## **Nil or Exempt GST**

Examples include:

- UHT milk
- Pre-packaged and labelled chena or paneer
- Indian breads such as roti, chapati, paratha and parotta
- Specified life-saving medicines
- Individual life-insurance policies and related reinsurance
- Individual health-insurance policies, including family-floater and senior-citizen policies, and related reinsurance

## **5% Merit Rate**

Examples include:

- Most medicines other than specifically exempt medicines
- Medical devices
- Agricultural machinery
- Tractors other than specified road tractors
- Bicycles and bicycle parts
- Various food products and household essentials
- Renewable-energy equipment
- Hotel accommodation costing up to ₹7,500 per unit per day, without input tax credit
- Salons, barbers, gyms, yoga centres and similar services, without input tax credit

## **18% Standard Rate**

Examples include:

- Most goods and services not placed in another schedule
- Air conditioners and dishwashers
- Televisions and monitors
- Cement
- Batteries
- Small cars
- Motorcycles with engine capacity up to and including 350 cc
- Buses, trucks, ambulances and three-wheelers

## **40% Special Rate**

The 40% rate applies to selected luxury and demerit supplies, including:

- Mid-size and large cars
- Specified utility vehicles and SUVs
- Motorcycles exceeding 350 cc

- Aerated and certain other non-alcoholic beverages
- Betting
- Casinos
- Gambling
- Horse racing
- Lottery
- Online money gaming

### **28% Transitional Rate**

The 28% rate continues for specified goods such as:

- Pan masala
- Cigarettes
- Cigars and related tobacco products
- Unmanufactured and manufactured tobacco
- Certain nicotine products

Compensation cess may continue where applicable until the government's compensation-cess loan and interest obligations are discharged and a new transition date is notified.

### **Latest GST Rate Amendment**

The latest official GST rate amendment available as of **1 August 2026** is:

#### **Notification No. 01/2026–Central Tax (Rate), dated 30 April 2026**

It amended Notification No. 9/2025–Central Tax (Rate) to align the rate notification with changes made by the **Finance Act, 2026**. A corrigendum was issued on **6 May 2026**.

### **Other Important Points about GST**

#### **Intra-State Supply**

When goods or services are supplied within the same state:

$$\text{GST} = \text{CGST} + \text{SGST}$$

For example:

$$18\% \text{ GST} = 9\% \text{ CGST} + 9\% \text{ SGST}$$

In a Union Territory without a legislature, UTGST is charged instead of SGST.

#### **Inter-State Supply and Imports**

For inter-state supplies and imports:

**GST = IGST**

For example:

**18% GST = 18% IGST**

### **Input Tax Credit**

A registered taxpayer may claim credit for eligible GST paid on business purchases and use it against GST payable on outward supplies. Input tax credit helps reduce the cascading or “tax-on-tax” effect.

Where an outward supply becomes exempt, the related input tax credit may have to be reversed according to GST law. Credit validly accumulated before a rate reduction can generally continue to be used for eligible output-tax liabilities.

### **Rate Depends on Classification**

The GST rate applicable to a product depends on its:

- HSN classification for goods
- SAC classification for services
- Description
- Conditions attached to the rate
- Availability or non-availability of input tax credit

Therefore, the applicable notification and classification should be checked before applying a GST rate.

### **GST as Government Revenue**

GST collection is classified as:

**GST Revenue → Tax Revenue → Revenue Receipts**

GST receipts:

- Do not create liabilities for the government.
- Do not reduce government assets.
- Finance public expenditure and development programmes.

